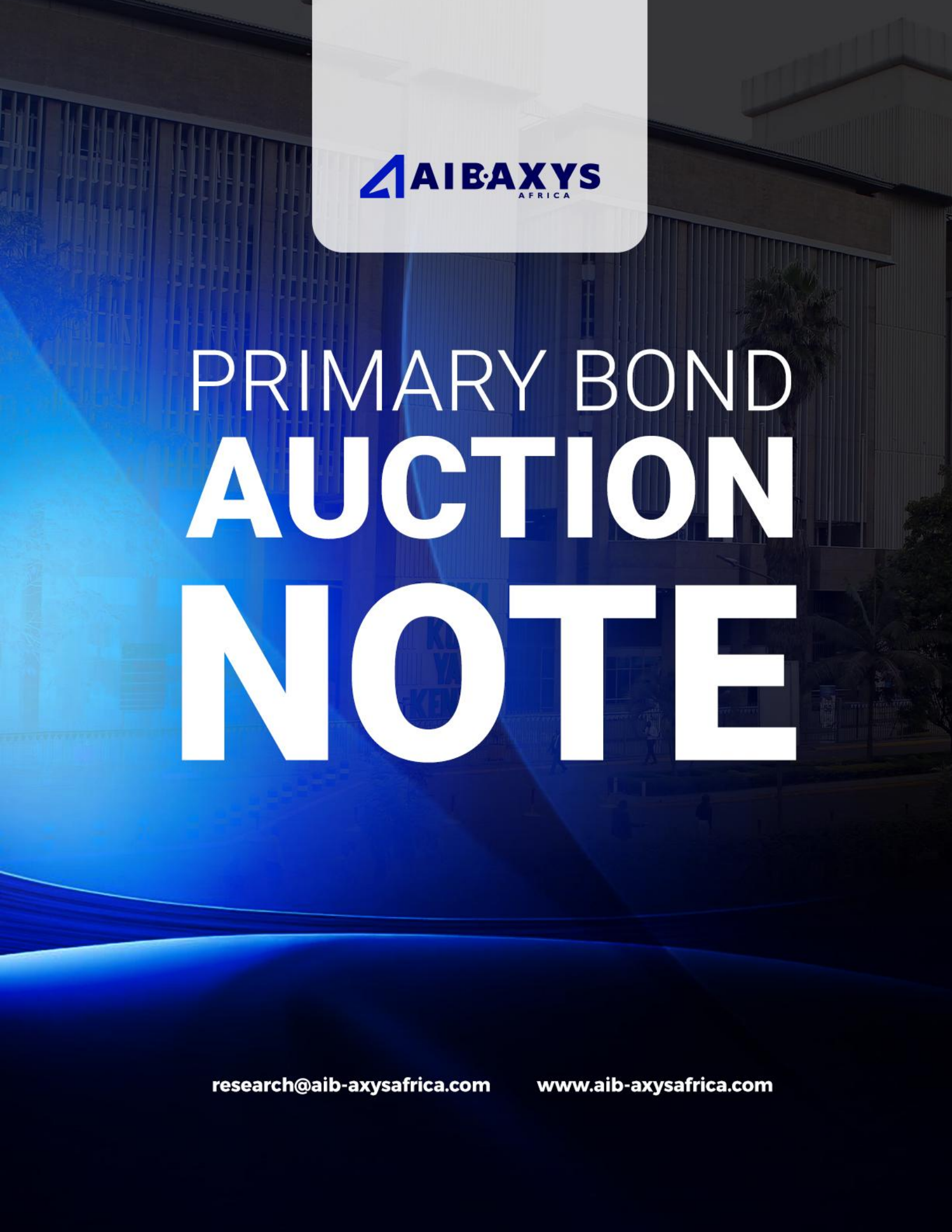

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AIB-AXY March 2026 Primary Bond Auction Note

Summary

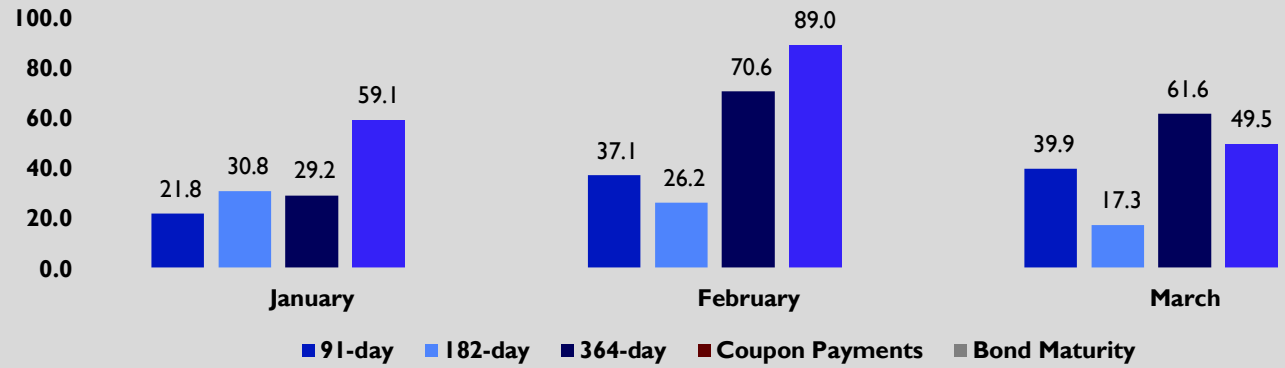
- **The Exchequer is seeking to raise KES 60.00Bn through the re-opening of the FXD1/2019/020 & FXD1/2021/025** treasury bonds earmarked for budgetary support in FY25/26.
- Going by the recent primary market auctions, we can conclude that there is ample liquidity in the market looking for investment opportunities. As yields continue to soften across the yield curve, we believe that investors are in a race to lock in positions before they fall further. In March, the fiscal agent is facing approximately KES 168.30 Bn in debt obligations, with no bond maturities.

- We expect demand to be skewed towards FXD1/2021/025 because of the higher coupon of 13.9240% compared to FXD1/2019/020, which has a coupon of 12.8730%. Both papers present an opportunity for long-term investors, looking to capitalize on capital gain opportunities in the secondary bond market amid an easing monetary environment. In this auction, the apex bank is likely to discourage aggressive bidding owing to: i) excess accumulation of funds from recent oversubscribed auctions from the spot market, as well as the recent Eurobond issuances, and ii) little pressure associated with bond maturities.
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2019/020 & FXD1/2021/025	
Issuer:	Republic of Kenya
Total Amount:	KES 60.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2019/020** - (13.1 Years)– Re-opened **FXD1/2021/025**- (20.1 Years)– Re-opened
Coupon Rate:	**FXD1/2019/020** – 12.8730% **FXD1/2021/025** – 13.9240%
Price Quote:	Discounted/Premium/Par
Period of sale:	26th Feb 2026 to 11th March 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2019/020** – 21st-March-2039 **FXD1/2021/025** – 9th-April-2046
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2019/020 – 12.95%-13.15%** **FXD1/2021/025 –13.40%-13.65%**

Governmnent Obligations Q1 2026 in KES Bn



Term Structure of Interest Rates

The rate-cutting cycle by the Monetary Policy Committee has continued to soften the yield curve. Notably, the longer end of the curve has posted the highest spreads on a YTD basis, easing by an average of 69.63 bps. At the same time, the mid and front sections have also eased by approximately 49.35 bps and 25.30 bps, respectively. The 20-year and 8-year benchmarks have posted the most declines at 140.05 bps and 124.60 bps.

We expect yield curve normalization throughout the year, supported by monetary easing. In 2026, we expect the MPC to continue on an easing path, and we see room for further cuts (1 to 2 cuts), especially if inflation remains within the CBK target range. The committee noted that previous monetary decisions have not yielded the envisaged economic growth. The main challenge facing inflation is geopolitical conflict in the Middle East, which might cause oil prices to rise and hence lift global inflation, as well as inflationary pressures locally.

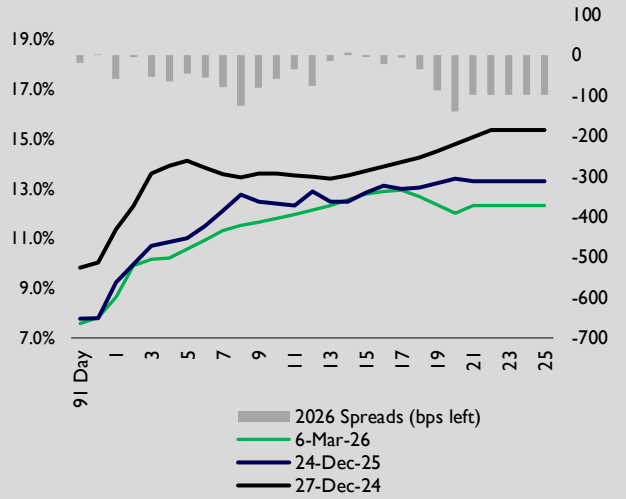
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) eased further to 8.8% in February from 8.9% in January. The easing was supported by the 25 bps cut in the Central Bank Rate in February, alongside a further narrowing of the interest rate corridor by 25 bps to 50 bps from 75 bps. Additionally, volume declined by 33.6%. We believe there is potential for further rate cuts during the year if inflation remains within the CBK target range. Currently, escalating conflicts in the Middle East may temper inflation.

Price Levels

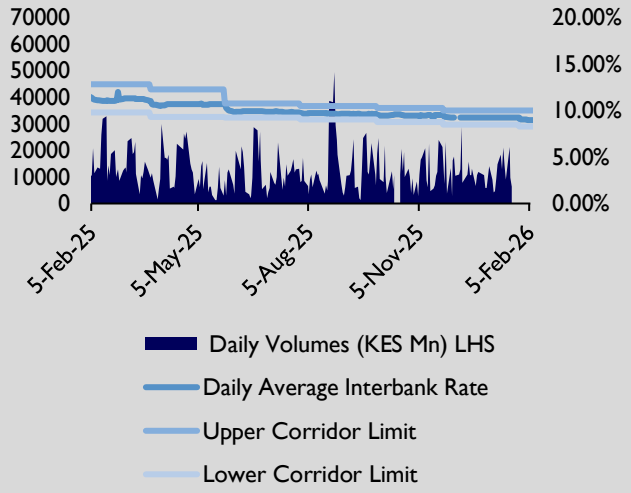
February inflation eased 4.3%, quite in line with our in-house estimates of 4.3%-4.5%, and was slightly lower than January's 4.4%. This implies that consumer prices were 4.3% higher in February 2026 compared to February 2025. Food inflation rate stood at 7.3% same level recorded in January. Fuel inflation eased by 80bps to 4.0% while Core inflation (Non-food Non-fuel) decreased by 10bps to 2.1% from 2.2% recorded in the previous month. We anticipate a slowdown in inflation in the near term, driven by improved weather conditions during the March long rains season, especially in the food-producing regions, which is expected to boost crop yields, strengthen food reserves, and contribute to a decline in food inflation. However, if the situation in the Middle East escalates, this could trigger volatility in the global oil market and have a ripple effect on oil prices.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

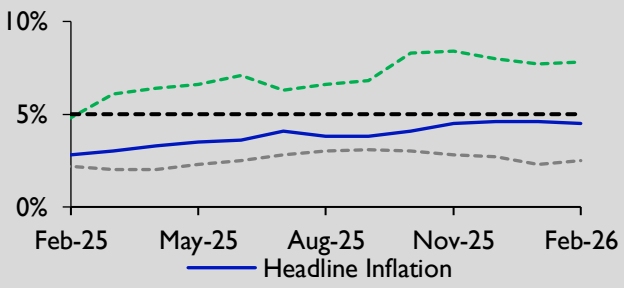
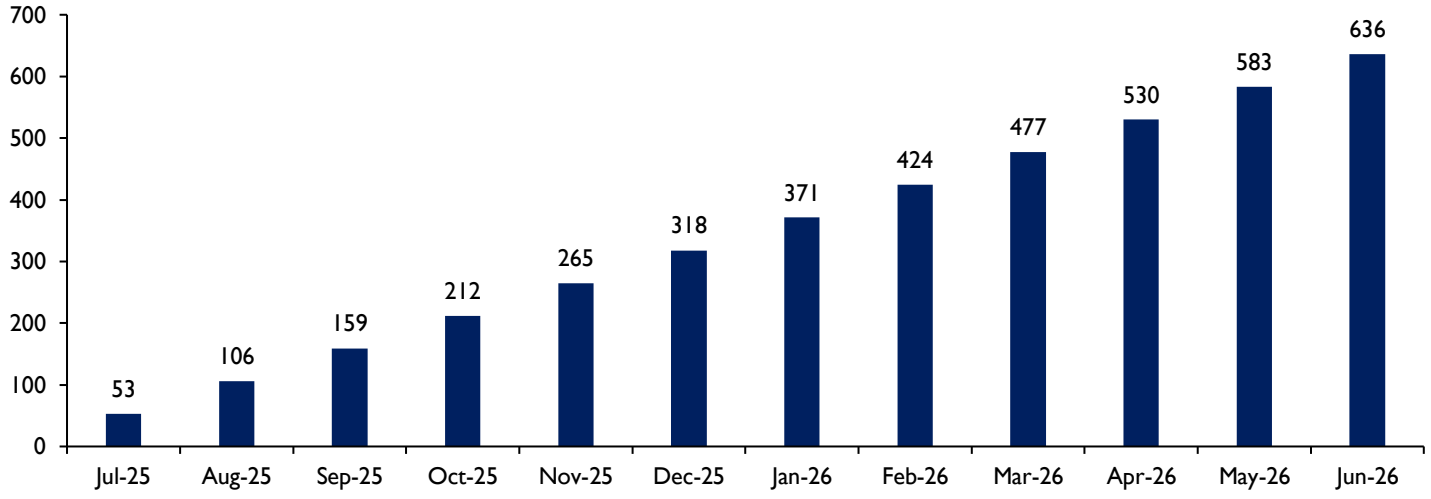


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2019/020 - (13.1Years)					
FXD2/2018/020	5-July-2038	12.4	89,198.60	13.2000%	12.2000%
FXD1/2019/020	**21-Mar-2039**	**13.1**	**104,033.30**	**12.8730%**	**12.3538%**
SDB1/2011/030	21-Jan-2041	14.9	50,878.50	12.0000%	12.7621%
Comparable Yields for the FXD1/2021/025 - (20.1 Years)					
FXD1/2018/025	25-May-2043	17.3	214,643.73	13.4000%	12.9557%
FXD1/2021/025	**9-April-2046**	20.1	132,796.55	**13.9240%**	**11.9502%**
FXD1/2022/025	**23-Sep-2047**	21.6	216,157.30	**14.1880%**	**12.6116%**

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%		
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.574%	12.746%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Average*	**48,929**		**12.9**	**213.2%**	**13.188%**	**13.653%**	**13.471%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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